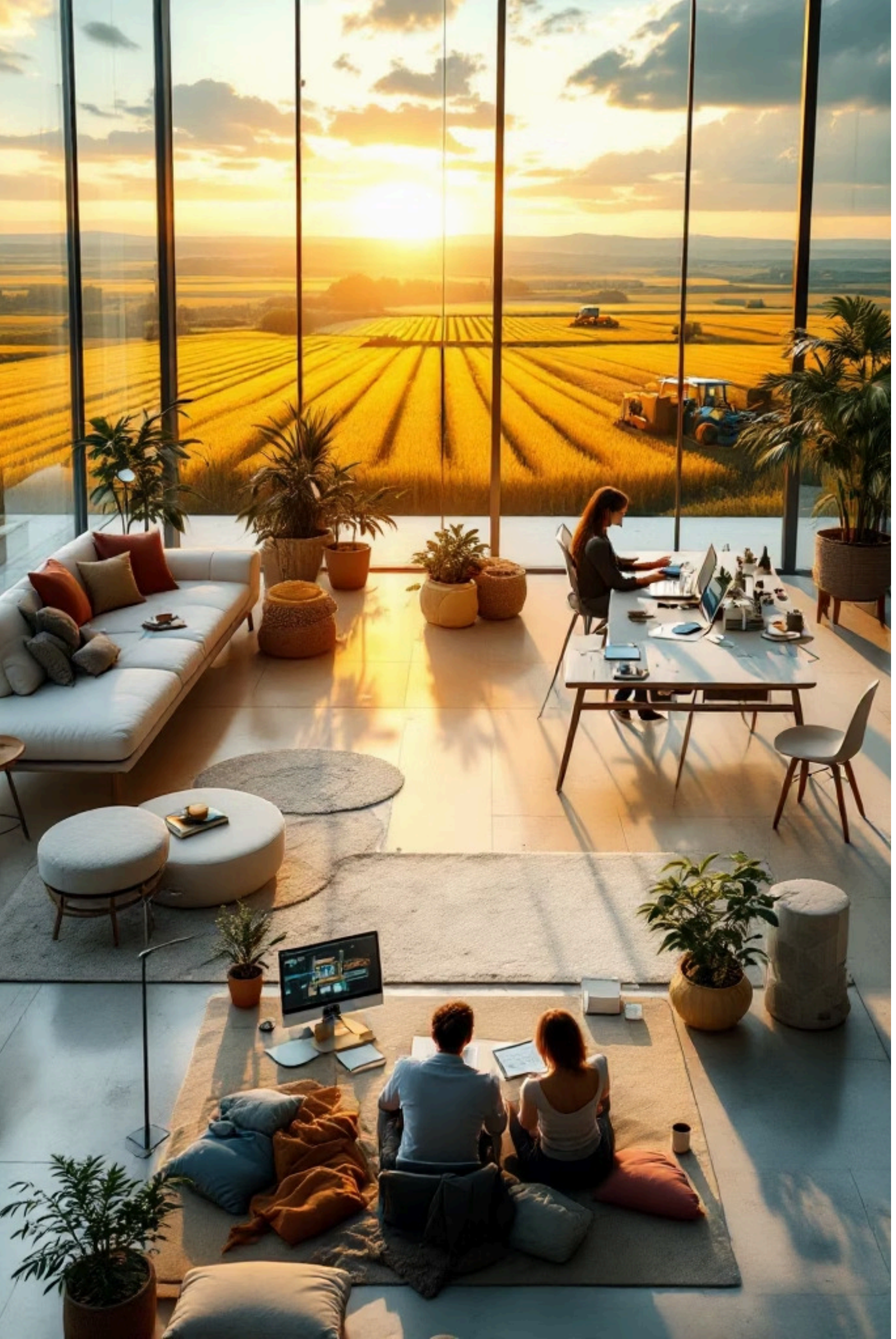


Strategic Growth Through AI

Vermeer Great Plains

Leveraging Generative AI to Scale an Employee-Owned Equipment Dealer Beyond $22M

PREPARED BY CHIEF AI OFFICER

CONFIDENTIAL

Company at a Glance

$22M

Annual Revenue

Midpoint estimate · Privately held ESOP

80

Employees

Five locations across KS, OK, MO

5

Locations

Olathe KS (HQ) · Park City KS · Brookline MO · Catoosa OK · OKC OK

50+

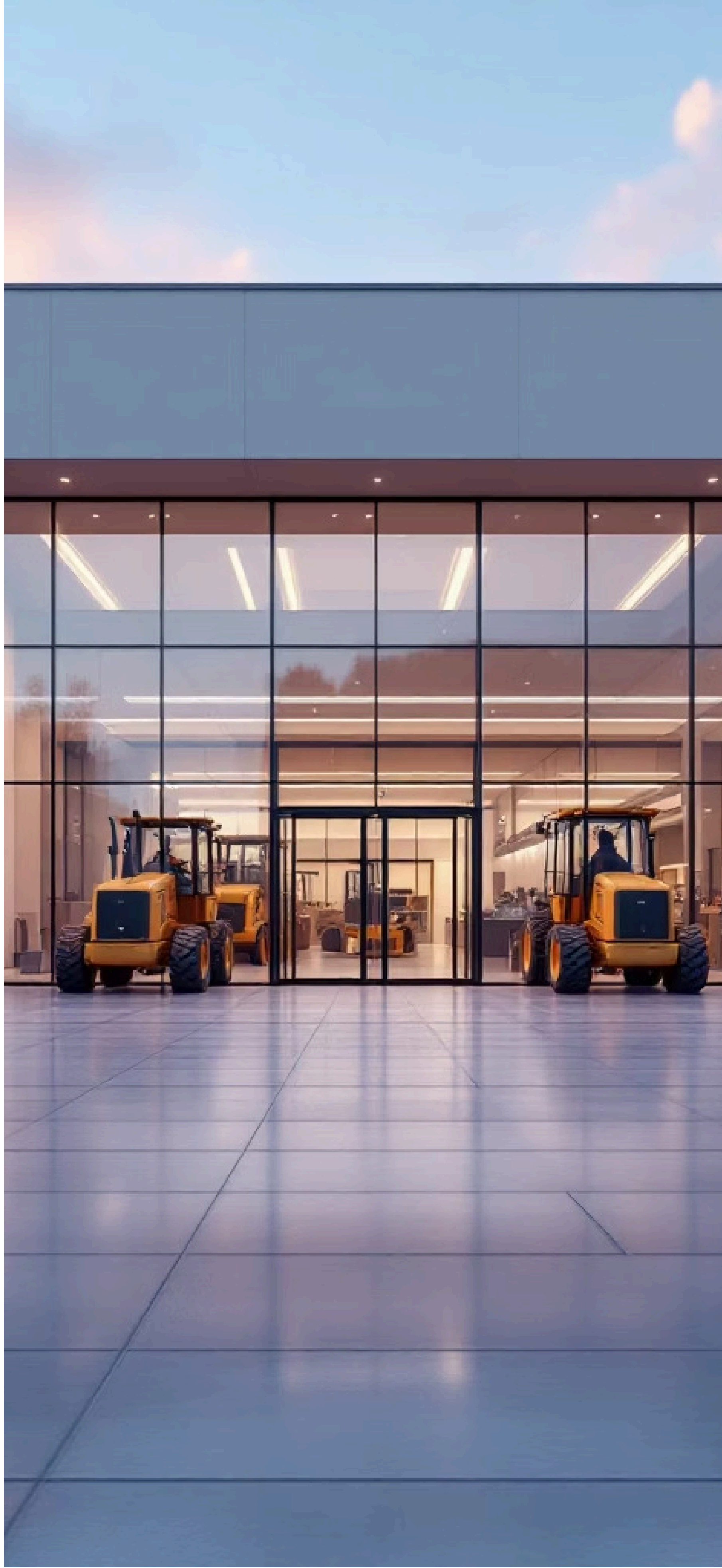
Years Operating

Established ~1974 · Kansas City metro roots

100% Employee-Owned

ESOP since April 2017. CEO Scott Ryals leads the company following the ESOP transition from founding president Art Swank. Vermeer Great Plains is an authorized full-line Vermeer equipment dealer serving tree care, underground utility, recycling, pipeline, and forage customers across Kansas, Oklahoma, and western Missouri.

🏗️ **Recent Milestone:** New Park City, KS facility opened December 2024 — expanding capacity in the Wichita metro market for hay, forage, and industrial equipment customers.



The Opportunity

Three structural advantages position Vermeer Great Plains to capture outsized value from AI adoption.

📈 Aftermarket Margin Shift

Parts and service carry **30–60% gross margins** versus 4.5–7% on new equipment. AI-driven proactive service outreach and predictive parts stocking can shift Vermeer GP's revenue mix toward its highest-margin business — directly expanding EBITDA without adding headcount.

🔧 Technician Force Multiplier

With **65% of equipment shops understaffed** and a net loss of 3,000 technicians annually, AI diagnostic tools and knowledge capture systems can make every existing technician **25–40% more productive** — the equivalent of adding capacity without the impossible hire.

🤝 ESOP Advantage

Employee-owners have **direct financial incentive** to adopt tools that improve profitability. Vermeer GP's culture — built on ownership mentality and profit focus — is uniquely positioned to drive faster AI adoption than competitors with traditional ownership structures.

Why Act Now

Current Landscape

📉 Cyclical Downturn

New dealer sales fell **15.5% in 2024** with another **18.6% decline projected for 2025**. Large equipment categories down 35–45% YoY. Margins on wholegoods approaching zero. The dealers who emerge strongest will be those who used the downturn to invest in operational efficiency.

🔩 Technician Crisis

65.5% of shops are understaffed with 19.3% of positions vacant. 8,000 technicians retire annually vs. 5,000 entering. Each unfilled position costs **$5K–$10K/month** in lost revenue. Average technician age is 42 and rising. The pipeline is structurally broken.

🤖 OEM AI Acceleration

John Deere invested **$555M in AI/autonomy**. CNH deployed AI Tech Assistants to 300+ dealer groups. AGCO targets $2B in precision ag sales by 2029. OEM expectations for dealer digital capabilities are rising fast — dealers without AI strategies risk losing franchise competitiveness.

🗂️ Data Fragmentation Tax

Dealers juggle **15+ browser tabs** across disconnected OEM portals, DMS, and CRM systems. Only 25% of customer interactions capture complete information. **23% of calls go unanswered.** Every disconnected system is a margin leak.

Where AI Transforms Vermeer Great Plains

AI Impact Areas — SG&A Functions & Operations

SG&A Functions

1 Finance & Accounting

Automated invoice processing, AI financial reporting, floorplan interest optimization, cash flow forecasting across 5 locations

$110K–$165K SAVINGS

2 Sales & Marketing

AI-powered equipment proposals, lead scoring, CRM intelligence, automated follow-up sequences, content generation for seasonal campaigns

$330K–$495K SAVINGS

3 Customer Service

AI chatbot for parts inquiries and service scheduling, 24/7 after-hours capture, proactive maintenance outreach based on machine hours/telematics

$132K–$198K SAVINGS

4 HR & Talent

AI recruiting for technician pipeline, onboarding automation, retention analytics, compliance training tracking across 5 locations

$88K–$132K SAVINGS

5 Legal & Compliance

Multi-brand warranty claim automation, contract review, OEM compliance documentation, safety and regulatory monitoring

$55K–$83K SAVINGS

Operations

1 Service & Technician Productivity

AI-powered diagnostics reducing 40-minute manual searches to instant answers, skill-to-job matching, predictive parts staging, bay utilization optimization

$440K–$660K VALUE

2 Parts & Inventory

Demand forecasting across seasonal cycles, automated reorder points, dead stock identification, fill rate optimization (industry moved from 60–70% to 85%+ with AI)

$220K–$385K VALUE

3 Customer Retention & Aftermarket Growth

Unified customer platform, AI-driven service reminders, predictive equipment replacement, proactive rental-to-purchase conversion

$275K–$440K VALUE

Consolidated AI Value Summary

Financial Impact

Function	Annual Value	Timeline
Finance & Accounting	$110K – $165K	6–12 months
Sales & Marketing	$330K – $495K	9–15 months
Customer Service	$132K – $198K	6–9 months
HR & Talent	$88K – $132K	6–12 months
Legal & Compliance	$55K – $83K	9–15 months
Service & Technician Productivity	$440K – $660K	12–18 months
Parts & Inventory	$220K – $385K	12–18 months
Customer Retention & Aftermarket	$275K – $440K	12–24 months
TOTAL IMPACT	**$1.65M – $2.56M**	**36 months**

Investment Required	**Payback Period**	**3-Year ROI**
$220K–$330K over 36 months	5–8 months	650–775%

Three-Phase Transformation Roadmap

Implementation Roadmap

1

Phase 1 · Days 1–90

FAST WINS

- Executive AI immersion workshop
- AP/invoice automation
- Customer service chatbot
- AI-assisted equipment proposals
- AI governance framework

Investment: $35K–$55K

Value: $65K–$110K run-rate

2

Phase 2 · Months 4–12

SCALE & INTEGRATE

- Enterprise AI platform across 5 locations
- AI diagnostic tools for service bays
- Predictive parts inventory system
- CRM intelligence & automated follow-up
- Technician recruiting chatbot

Investment: $95K–$150K

Value: $825K–$1.3M run-rate

3

Phase 3 · Months 13–36

OPTIMIZE & LEAD

- AI Center of Excellence
- Predictive maintenance via telematics
- Unified customer data platform
- Full aftermarket revenue optimization
- Knowledge capture from senior technicians

Investment: $90K–$125K

Value: $1.65M–$2.56M run-rate

Risk Management

Key Risks & Mitigations

1

Fragmented Adoption

PROB: HIGH

Governance framework + AI Steering Committee from Day 1. Centralized enterprise platform by Month 8. Consistent rollout across all 5 locations.

2

Data Quality Gaps

PROB: MEDIUM-HIGH

Data readiness assessment in Phase 1. Prioritize high-data-availability use cases first (AP, customer inquiries). Clean DMS and CRM data before scaling.

3

Change Resistance

PROB: MEDIUM

ESOP culture is a natural accelerant — employee-owners benefit directly from profitability gains. "AI augments, not replaces" messaging. Tiered training for all 80 employees.

4

Technician Trust in AI Diagnostics

IMPACT: HIGH

Human-in-the-loop mandatory for all service recommendations. Start with AI as research assistant, not decision-maker. Build trust through accuracy before expanding scope.

5

Vendor Lock-In

PROB: MEDIUM

Open APIs required in all contracts. Multi-vendor strategy. Data portability clauses. Quarterly tech reviews.

6

Cybersecurity

IMPACT: HIGH

SOC 2 / ISO 27001 vendor requirements. Private cloud for customer and financial data. Annual penetration testing.

The Valuation Transformation

Enterprise Value

Today — Baseline

~$22M Revenue × ~5% EBITDA margin

~$1.1M EBITDA

× 4.0–5.0x EV/EBITDA multiple (equipment dealer range)

$4.4M – $5.5M Enterprise Value

Year 3 — Post-AI

$1.1M base EBITDA + $1.65M AI value (conservative)

$2.75M EBITDA

× 5.0–6.0x multiple (AI-enabled premium)

$13.8M – $16.5M Enterprise Value

Enterprise Value Created: $9.3M – $11.0M on $220K–$330K investment

Strategic Optionality

Remain Independent

Top-quartile 12.5%+ EBITDA margins — directly increasing ESOP share value for all 80 employee-owners.

Attract Strategic Acquirers

Consolidating dealers at premium multiples if succession or liquidity is ever desired.

Scale to $30M–$40M Revenue

Without proportional SG&A growth — adding locations or product lines with AI-enabled back office.

The Choice Is Clear

❌ Option A: Status Quo

- Margin erosion during cyclical downturn
- Technician crisis worsening with no mitigation
- ESOP share value stagnation
- Aftermarket revenue leaking to competitors
- OEM digital expectations unmet

✅ Option B: AI Transformation

- $1.65M–$2.56M annual impact
- 12.5%+ EBITDA margins
- $9.3M–$11.0M enterprise value created
- Every employee-owner benefits directly through rising ESOP share value

Immediate Next Steps — Week 1

1. **Day 1–3**
   CEO convenes leadership · Secure board endorsement · Commit to 3-year investment plan
2. **Week 1**
   Engage AI consulting partner · Assign Phase 1 lead · Allocate $35K–$55K Phase 1 budget
3. **Week 1–2**
   Company-wide communication: AI as force multiplier for employee-owners · Invite input from all locations
4. **Week 2–4**
   Select Phase 1 pilots (AP automation, customer chatbot, proposal AI) · Begin Executive Immersion training

> "Vermeer Great Plains was built on ownership mentality. AI is the tool that turns 80 owners into 80 force multipliers."

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